

# OCR Advanced Subsidiary GCE in Economics (H060)

## Specification

### Version 1: First assessment 2016

This draft qualification has not yet been accredited by Ofqual. It is published to enable teachers to have early sight of our proposed approach to AS Level in Economics. Further changes may be required and no assurance can be given at this time that the proposed qualification will be made available in its current form, or that it will be accredited in time for first teaching in 2015 and first award in 2016.

Draft

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# 1 Why choose an OCR AS Level in Economics?

## 1a. Why choose an OCR qualification?

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Choose OCR and you've got the reassurance that you're working with one of the UK's leading exam boards. Our new AS Level in Economics course has been developed in consultation with teachers, employers and higher education to provide learners with a qualification that's relevant to them and meets their needs.

We're part of the Cambridge Assessment Group, Europe's largest assessment agency and a department of the University of Cambridge. Cambridge Assessment plays a leading role in developing and delivering assessments throughout the world, operating in over 150 countries.

We work with a range of education providers, including schools, colleges, workplaces and other institutions in both the public and private sectors. Over 13,000 centres choose our A levels, GCSEs and vocational qualifications including Cambridge Nationals, Cambridge Technicals and Cambridge Progression.

### **Our Specifications**

We believe in developing specifications that help you bring the subject to life and inspire your students to achieve more.

We've created teacher-friendly specifications based on extensive research and engagement with the teaching community. They're designed to be straightforward and accessible so that you can tailor the delivery of the course to suit your needs. We aim to encourage learners to become responsible for their own learning, confident in discussing ideas, innovative and engaged.

We provide a range of support services designed to help you at every stage, from preparation through to the delivery of our specifications. This includes:

- A wide range of high-quality creative resources including:
  - Delivery Guides
  - Transition Guides
  - Topic Exploration Packs
  - Lesson Elements
  - ...and much more.
- Access to subject specialists to support you through the transition and throughout the lifetimes of the specifications.
- CPD/Training for teachers including face-to-face events to introduce the qualifications and prepare you for first teaching.
- Active Results – our free results analysis service to help you review the performance of individual students or whole schools.
- ExamCreator – our new online past papers service that enables you to build your own test papers from past OCR exam questions.

All AS level qualifications offered by OCR are accredited by Ofqual, the Regulator for qualifications offered in England.

## 1b. Why choose an OCR AS Level in Economics?

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The OCR AS Level in Economics specification gives a strong grounding in both microeconomics and macroeconomics, through a two-component externally assessed qualification. The key purpose of this qualification is to provide an introduction to the study of Economics, with the content focusing on providing the basic knowledge and understanding of the essential aspects of economic theory and concepts.

The aim is for the learners to learn how to 'think as economists', and be able to develop the necessary analytical, questioning and quantitative skills in order to progress in the subject, within relevant associated subjects or for use in their professional lives. Learners will develop various skillsets – from data analysis, problem solving and high tariff writing to independent learning, critical thinking and decision making – which can make them stand out as they progress to higher education and/or the workplace.

### Aims and learning outcomes

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The aims of this specification are to enable learners to:

- 'think as economists' by developing the necessary analytical, questioning and quantitative skills
- develop basic knowledge and understanding of the essential aspects of economic theory and concepts
- understand the implications of market failure for individuals, firms and government and recognise the possibility of government failure
- critically approach theories and concepts to understand their place within real world economics
- develop an understanding and appreciation of quantitative skills and how to apply them in relevant contexts
- develop an understanding of the application of policy instruments and the conflicts which can arise
- use an enquiring, critical and thoughtful approach to the study of economics.

## 1c. What are the key features of this specification?

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The OCR AS Level in Economics will enable:

- learners to develop an interest in and enthusiasm for the subject
- the development of analytical and quantitative skills, together with qualities and attitudes which will equip learners for the challenges, opportunities and responsibilities of adult and working life
- the co-teachability with the OCR A Level in Economics (H460) throughout this course, with the interaction of the two central to the planning and writing of this specification.

The OCR AS Level in Economics provides the ideal foundation for learners to appreciate the contribution of economics to the wider economic and social environment in which we live. By using an enquiring, critical and thoughtful approach to the study of economics they will develop an ability to think as an economist and understand how economic behaviour can be studied from a range of perspectives. Learners will develop an understanding of a range of concepts and an ability to apply these concepts in a variety of contexts. This qualification will enable learners to develop a number of important skills including quantitative skills, which will aid their study in other subjects and be beneficial in the future in their working life.

## 1d. How do I find out more information?

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If already using OCR specifications you can contact us at: [www.ocr.org.uk](http://www.ocr.org.uk)

If not already registered you can find out more information on the benefits of becoming one at: [www.ocr.org.uk](http://www.ocr.org.uk)

If you are not yet an approved centre and would like to become one go to: [www.ocr.org.uk](http://www.ocr.org.uk)

Find out more?

Ask a Subject Specialist: [economics@ocr.org.uk](mailto:economics@ocr.org.uk)

## 2 The specification overview

### 2a. Overview of AS Level in Economics (H060)

| Content Overview                                                                                                                                                        | Assessment Overview                                                 |                                    |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------|------------------------------------|
| <ul style="list-style-type: none"><li>• Microeconomics theory</li><li>• How competitive markets work</li><li>• Market failures and government intervention</li></ul>    | Microeconomics (01)*<br>60 marks<br>1 hour 30 minutes written paper | <b>50%</b><br>of total<br>AS level |
| <ul style="list-style-type: none"><li>• Macroeconomy functions on a domestic and global level</li><li>• Policy approaches</li><li>• Macroeconomic equilibrium</li></ul> | Macroeconomics (02)*<br>60 marks<br>1 hour 30 minutes written paper | <b>50%</b><br>of total<br>AS level |

\* Indicates synoptic assessment

Learners must complete all components (01 and 02).

## 2b. Content of AS Level in Economics (H060)

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The OCR AS Level in Economics content encourages the learners to ‘think as economists’ and develop the appropriate range of analytical, questioning and reasoning skills to achieve this objective. In addition, the qualification will enable learners to develop grounding in both microeconomics and macroeconomics, drawing on local, national and global contexts.

The qualification also encourages learners to apply the concepts and techniques which they have learned throughout the course to a range of ‘real world’ issues and contexts.

## 2c. Content of Component 1: Microeconomics (H060/01)

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Component 1 of our Economics AS qualification focuses on microeconomics. From a base of microeconomic theory, this component enables learners to discuss and evaluate how well microeconomic theories explain our observations of economic agents in the real world. The theoretical workings of the free market provide a useful starting point for explanation and analysis. Imperfections and market failures provide a lead into a discussion of the merits and drawbacks of government intervention. The study of microeconomics encourages learners to consider the usefulness of theory in explaining observations taken from the real world of economics.

| Area of Study       | Topic                      | Learners should be able to:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|---------------------|----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Scarcity and choice | The basic economic problem | <ul style="list-style-type: none"><li>• distinguish between economic goods and free goods</li><li>• explain what is meant by the basic ‘economic problem’</li><li>• evaluate the implications of the basic ‘economic problem’</li><li>• distinguish between normative and positive statements</li><li>• distinguish between ‘needs’ and ‘wants’</li><li>• explain what is meant by scarcity</li><li>• evaluate, using examples, the problem of scarcity and the requirement to make choices</li><li>• explain, using examples, the impact of sustainability on scarcity and choice</li><li>• explain the role of economic agents:<ul style="list-style-type: none"><li>○ government</li><li>○ firms</li><li>○ households</li></ul></li><li>• explain the nature and role of the different factors of production as economic resources</li><li>• explain the rewards to the factors of production.</li></ul> |
|                     | Opportunity cost           | <ul style="list-style-type: none"><li>• explain the concept of opportunity cost</li><li>• explain what is meant by a trade-off</li><li>• explain what is meant by a production possibility curve/frontier (PPC/F)</li><li>• explain the factors causing a PPC/F to shift</li><li>• explain how PPC/F can be used to illustrate</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |

| Area of Study                       | Topic                                                   | Learners should be able to:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|-------------------------------------|---------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Scarcity and choice</b>          | <b>Opportunity cost</b>                                 | <p>scarcity, choice, opportunity cost and productive efficiency</p> <ul style="list-style-type: none"> <li>• evaluate the usefulness of the concept of opportunity cost.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|                                     | <b>Specialisation and trade</b>                         | <ul style="list-style-type: none"> <li>• explain what is meant by specialisation and the division of labour</li> <li>• evaluate the role of specialisation and the division of labour in addressing the problem of scarcity</li> <li>• explain how specialisation encourages trade and exchange in an economy</li> <li>• explain how money facilitates trade and exchange compared to barter systems.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>How competitive markets work</b> | <b>Allocation of resources</b>                          | <ul style="list-style-type: none"> <li>• explain what is meant by resource allocation</li> <li>• explain the impact of incentives on the behaviour of economic agents and resource allocation</li> <li>• evaluate the effectiveness of incentives on the behaviour of economic agents and resource allocation</li> <li>• explain how market, planned and mixed economies allocate resources</li> <li>• evaluate the advantages and disadvantages of different types of economy in allocating resources.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|                                     | <b>The objectives of economic agents</b>                | <ul style="list-style-type: none"> <li>• explain, using examples, what is meant by maximisation</li> <li>• identify possible objectives of economic agents</li> <li>• evaluate the different objectives of the economic agents in an economy.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|                                     | <b>Supply and demand and the interaction of markets</b> | <ul style="list-style-type: none"> <li>• explain what is meant by a market and sub-markets</li> <li>• explain the relationship between individual and market demand</li> <li>• explain what is meant by derived, joint, composite and competitive demand</li> <li>• explain, with the aid of a diagram, the difference between a movement along the demand curve (extension/contraction) and a shift of the demand curve (increase/decrease)</li> <li>• explain the factors which cause a shift of the demand curve</li> <li>• explain, with the aid of a diagram, what is meant by consumer surplus</li> <li>• explain and calculate how changes in price affect consumer surplus</li> <li>• evaluate the impact of changes in price on consumer surplus</li> <li>• explain the relationship between individual supply and market supply</li> <li>• explain what is meant by joint, composite and competitive supply</li> <li>• explain the relationship between price and quantity supplied</li> </ul> |



| Area of Study                | Topic                                            | Learners should be able to:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|------------------------------|--------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| How competitive markets work | Supply and demand and the interaction of markets | <ul style="list-style-type: none"> <li>• explain, with the aid of a diagram, the difference between a movement along the supply curve (extension/contraction) and a shift of the supply curve (increase/decrease)</li> <li>• explain the factors which cause a shift of the supply curve</li> <li>• explain, with the aid of a diagram, what is meant by producer surplus</li> <li>• explain and calculate how changes in price affect producer surplus</li> <li>• evaluate the impact of changes in price on producer surplus</li> <li>• explain, with the aid of a diagram, how demand and supply interact to produce market equilibrium in product markets, financial markets and the markets for factors of production</li> <li>• evaluate the impact of changes in demand and/or supply in one market on a related market(s)</li> <li>• explain the causes and consequences of disequilibrium in a market</li> <li>• explain, with the aid of a diagram, how changes in the factors affecting supply and demand will impact on equilibrium price and quantity in moving from an initial equilibrium to a new equilibrium</li> <li>• explain, with the aid of a diagram, why the price and output of some goods and services may be volatile</li> <li>• evaluate, with the aid of a diagram, the usefulness of demand and supply in analysing markets, such as commodities, housing and transport.</li> </ul> |
|                              | Elasticity                                       | <ul style="list-style-type: none"> <li>• explain what is meant by elasticity</li> <li>• explain what is meant by price elasticity of demand (PED)</li> <li>• calculate PED using point elasticity</li> <li>• explain, with the aid of a diagram, the different values of PED</li> <li>• explain why price elasticity of demand varies along a straight line demand curve</li> <li>• explain, with the aid of a diagram, the relationship between PED and a firm's total revenue</li> <li>• evaluate the factors which determine the degree of PED</li> <li>• evaluate the effect of PED on the impact of an indirect tax and of a subsidy</li> <li>• explain what is meant by income elasticity of demand (YED)</li> <li>• calculate YED</li> <li>• evaluate the significance of the numerical value and sign of YED</li> <li>• explain the difference in YED of inferior, normal and superior goods</li> <li>• explain what is meant by cross elasticity of demand (XED)</li> <li>• calculate XED</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                     |

| Area of Study                              | Topic                                | Learners should be able to:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|--------------------------------------------|--------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| How competitive markets work               | Elasticity                           | <ul style="list-style-type: none"> <li>• evaluate the significance of the numerical value and sign of XED</li> <li>• explain the difference in XED of substitute, complementary and non-related goods</li> <li>• explain what is meant by price elasticity of supply (PES)</li> <li>• calculate PES using point elasticity</li> <li>• explain, with the aid of a diagram, the different values of PES</li> <li>• evaluate the factors which determine the degree of price elasticity of supply</li> <li>• evaluate the usefulness of and significance of PED, YED, XED and PES to all economic agents.</li> </ul>                                                                                                                                                                                                                                                                       |
|                                            | Productive and allocative efficiency | <ul style="list-style-type: none"> <li>• explain what is meant by productive efficiency</li> <li>• explain what is meant by allocative efficiency</li> <li>• explain what is meant by economic efficiency</li> <li>• evaluate the benefits of productive, allocative and economic efficiency.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|                                            | Costs and revenue                    | <ul style="list-style-type: none"> <li>• explain what is meant by: <ul style="list-style-type: none"> <li>◦ total cost (TC), total fixed cost (TFC), total variable cost (TVC), average cost/average total cost (AC/ATC), average fixed cost (AFC), average variable cost (AVC), marginal cost (MC)</li> </ul> </li> <li>• calculate: TC, TFC, TVC, AC (ATC), AFC, AVC, MC.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Market failure and government intervention | Market failure                       | <ul style="list-style-type: none"> <li>• explain what is meant by market failure</li> <li>• explain the implication of market failure for efficiency/inefficiency</li> <li>• explain what is meant by market failure in terms of over or under consumption/production and resource allocation</li> <li>• explain what is meant by a public good</li> <li>• evaluate the role of the government in the provision of a public good.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|                                            | Externalities                        | <ul style="list-style-type: none"> <li>• explain, with the aid of a diagram, what is meant by positive and negative externalities (external benefits and external costs) of consumption</li> <li>• explain, with the aid of a diagram, what is meant by positive and negative externalities (external benefits and external costs) of production</li> <li>• explain what is meant by marginal social cost, marginal external cost, marginal private cost, marginal social benefit, marginal external benefit and marginal private benefit</li> <li>• explain, with the aid of a diagram, why the following cause market failure: <ul style="list-style-type: none"> <li>◦ negative externalities of consumption</li> <li>◦ negative externalities of production</li> <li>◦ positive externalities of consumption</li> <li>◦ positive externalities of production</li> </ul> </li> </ul> |

| Area of Study                                     | Topic                                                 | Learners should be able to:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|---------------------------------------------------|-------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Market failure and government intervention</b> |                                                       | <ul style="list-style-type: none"> <li>• evaluate how the existence of externalities affects markets, such as education, health and transport, and the environment.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|                                                   | <b>Information asymmetries</b>                        | <ul style="list-style-type: none"> <li>• explain what is meant by information failure</li> <li>• explain what is meant by asymmetric information and moral hazard</li> <li>• explain, with the aid of a diagram, how information failure causes market failure</li> <li>• explain what is meant by merit and demerit goods in terms of information failures</li> <li>• evaluate the significance of merit and demerit goods.</li> </ul>                                                                                                                                                                                                          |
|                                                   | <b>Alternative methods of government intervention</b> | <ul style="list-style-type: none"> <li>• explain why governments intervene in markets</li> <li>• explain, with the aid of a diagram, how the government intervenes in markets to correct or reduce market failure by using, for example: <ul style="list-style-type: none"> <li>○ taxation and subsidies</li> <li>○ government expenditure/state provision</li> <li>○ buffer stock systems</li> <li>○ price controls</li> <li>○ legislation and regulation</li> <li>○ information provision</li> </ul> </li> <li>• evaluate the effectiveness of different types of government intervention in correcting or reducing market failure.</li> </ul> |
|                                                   | <b>Government failure</b>                             | <ul style="list-style-type: none"> <li>• explain what is meant by government failure</li> <li>• explain what may cause government failure</li> <li>• evaluate the consequences of government failure.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                 |

## 2c. Content of Component 2: Macroeconomics (H060/02)

Component 2 focuses on macroeconomics. This component provides learners with the technical and analytical tools required to understand how the macroeconomy functions on both a domestic and global level. The content of this component encourages learners to adopt a critical approach to their study of policy through a development of their understanding of the limitations and conflicts which macroeconomic policies cause. There is also a study of the application of policy instruments and the conflicts which can arise from these policies.

| Area of Study                                                                 | Topic                          | Learners should be able to:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|-------------------------------------------------------------------------------|--------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Economic policy objectives and indicators of macroeconomic performance</b> | <b>Economic growth</b>         | <ul style="list-style-type: none"><li>• explain what is meant by economic growth</li><li>• explain what is meant by the macroeconomic policy objectives of sustained and sustainable economic growth</li><li>• explain what is meant by a recession</li><li>• distinguish between real and nominal (money) gross domestic product (GDP)</li><li>• compare changes in real and nominal (money) values of GDP over time</li><li>• explain why GDP and economic growth are measured</li><li>• evaluate the difficulties of measuring economic growth and GDP</li><li>• calculate real and nominal (money) economic growth rates</li><li>• calculate GDP per capita</li><li>• evaluate the causes of economic growth in the short and long run</li><li>• explain, with the aid of a production possibility frontier/curve (PPF/C) and an AD/AS diagram, the difference between short run and long run growth</li><li>• evaluate the costs and benefits of economic growth</li><li>• evaluate the consequences of a recession.</li></ul> |
|                                                                               | <b>Employment/unemployment</b> | <ul style="list-style-type: none"><li>• explain what is meant by unemployment</li><li>• explain what is meant by employment</li><li>• explain what is meant by the macroeconomic policy objective of full employment</li><li>• distinguish between the Labour Force Survey and claimant count measures of unemployment</li><li>• evaluate the difficulties of accurately measuring unemployment</li><li>• evaluate the causes of unemployment</li><li>• evaluate the consequences of unemployment</li><li>• evaluate the effects of full employment.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|                                                                               | <b>Inflation</b>               | <ul style="list-style-type: none"><li>• explain what is meant by inflation</li><li>• explain what is meant by the macroeconomic policy objective of low and stable inflation</li><li>• explain what is meant by deflation, disinflation and hyperinflation</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |

| Area of Study                                                                 | Topic                                     | Learners should be able to:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|-------------------------------------------------------------------------------|-------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Economic policy objectives and indicators of macroeconomic performance</b> | <b>Inflation</b>                          | <ul style="list-style-type: none"> <li>• explain how the current official measure of inflation in the UK is constructed</li> <li>• calculate the rate of inflation using index numbers</li> <li>• evaluate the advantages and disadvantages of using an index, such as the Consumer Price Index (CPI), to measure inflation</li> <li>• evaluate the causes of inflation</li> <li>• evaluate the consequences of inflation</li> <li>• evaluate the causes of deflation</li> <li>• evaluate the consequences of deflation.</li> </ul>                                                                                                                                                                                                                                                                             |
|                                                                               | <b>Trends in macroeconomic indicators</b> | <ul style="list-style-type: none"> <li>• explain the key trends in UK macroeconomic performance in the last 20 years</li> <li>• evaluate the current performance of the UK economy compared with other developed economies, emerging economies and developing economies.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>Aggregate demand and aggregate supply</b>                                  | <b>Circular flow of income</b>            | <ul style="list-style-type: none"> <li>• explain the income, output and expenditure methods of measuring national income</li> <li>• explain what is meant by the circular flow of income</li> <li>• explain what is meant by injections and leakages within the circular flow</li> <li>• distinguish between physical and monetary flows</li> <li>• explain what is meant by the average and marginal propensities to consume and save</li> <li>• explain what is meant by the marginal propensity to withdraw (marginal propensity to save, marginal rate of tax, marginal propensity to import)</li> <li>• calculate average and marginal propensities to consume, save and withdraw</li> <li>• explain what is meant by the multiplier</li> <li>• explain the role and purpose of the multiplier.</li> </ul> |
|                                                                               | <b>Aggregate demand</b>                   | <ul style="list-style-type: none"> <li>• explain what is meant by aggregate demand</li> <li>• explain the determinants of the components of aggregate demand</li> <li>• evaluate the relationship between changes in income and consumption</li> <li>• explain the relationship between aggregate demand and the price level</li> <li>• explain why the aggregate demand curve may shift.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                            |
|                                                                               | <b>Aggregate supply</b>                   | <ul style="list-style-type: none"> <li>• explain what is meant by aggregate supply</li> <li>• explain why the aggregate supply curve may shift in both the short run and the long run.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|                                                                               | <b>Aggregate demand and supply</b>        | <ul style="list-style-type: none"> <li>• draw and interpret AD/AS diagrams.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |

| Area of Study                                | Topic                            | Learners should be able to:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|----------------------------------------------|----------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Aggregate demand and aggregate supply</b> | <b>Macroeconomic equilibrium</b> | <ul style="list-style-type: none"> <li>• explain what is meant by equilibrium in the macroeconomy and how it might change</li> <li>• evaluate how changes in aggregate demand and aggregate supply may affect macroeconomic performance, including economic growth, unemployment and inflation.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>The application of policy instruments</b> | <b>Fiscal policy</b>             | <ul style="list-style-type: none"> <li>• explain what is meant by the government budget</li> <li>• identify the main sources of tax revenue and government expenditure in the UK economy</li> <li>• distinguish between current and capital government expenditure</li> <li>• distinguish between progressive, proportional and regressive taxation</li> <li>• distinguish between direct and indirect taxation</li> <li>• explain the features of a 'good' tax</li> <li>• evaluate the advantages and disadvantages of a flat rate tax system</li> <li>• explain what is meant by the budget position/fiscal stance</li> <li>• distinguish between a budget surplus, a budget deficit and a balanced budget</li> <li>• distinguish between the cyclical budget position and the structural budget position</li> <li>• distinguish between an overall budget position and the budget position on current expenditure</li> <li>• distinguish between a budget deficit and government debt</li> <li>• explain how budget deficits can be financed</li> <li>• evaluate policies to correct a budget surplus or deficit</li> <li>• evaluate the consequences of government debt</li> <li>• explain how discretionary fiscal policy may be used to improve macroeconomic performance</li> <li>• evaluate the effectiveness of using fiscal policy to achieve the government's macroeconomic objectives</li> <li>• explain how fiscal rules can influence the behaviour or economic agents</li> <li>• evaluate the effectiveness of fiscal rules.</li> </ul> |
|                                              | <b>Monetary policy</b>           | <ul style="list-style-type: none"> <li>• explain what is meant by monetary policy instruments/measures, such as interest rates, money supply and exchange rates can be used to influence macroeconomic variables</li> <li>• explain how monetary policy instruments/measures affect the macroeconomic performance</li> <li>• explain what is meant by inflation targeting</li> <li>• explain how inflation targeting may affect the behaviour of economic agents</li> <li>• explain how a central bank works to achieve its aims</li> <li>• evaluate the effectiveness of using monetary policy to achieve the government's macroeconomic objectives.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |

| Area of Study                                | Topic                      | Learners should be able to:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|----------------------------------------------|----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>The application of policy instruments</b> | <b>Supply side policy</b>  | <ul style="list-style-type: none"> <li>explain policies which are used to increase the quality or quantity of factors of production, including: <ul style="list-style-type: none"> <li>education and training</li> <li>reforming tax and benefits</li> <li>reducing marginal tax rates</li> <li>National Minimum Wage legislation and promoting a 'living wage'</li> <li>improving labour market flexibility – including consideration of the housing market</li> <li>immigration</li> <li>privatisation</li> <li>deregulation</li> <li>trade union reform</li> <li>infrastructure investment – including consideration of transport market</li> <li>research and development incentives</li> <li>subsidies</li> </ul> </li> <li>evaluate the effectiveness of using supply side policy measures to achieve the government's macroeconomic objectives.</li> </ul> |
|                                              | <b>Policy conflicts</b>    | <ul style="list-style-type: none"> <li>explain the possible trade-offs which exist between policy objectives, such as: <ul style="list-style-type: none"> <li>unemployment and inflation</li> <li>growth and inflation</li> <li>inflation and the balance of payments</li> <li>growth and the balance of payments</li> <li>growth and income and wealth equality</li> </ul> </li> <li>evaluate the consequences of conflicts between policy objectives <ul style="list-style-type: none"> <li>evaluate the methods through which policy conflicts can be resolved or reduced.</li> </ul> </li> </ul>                                                                                                                                                                                                                                                              |
| <b>The global context</b>                    | <b>International trade</b> | <ul style="list-style-type: none"> <li>explain what is meant by international trade</li> <li>distinguish between absolute and comparative advantage</li> <li>calculate opportunity cost ratios to illustrate the gains from trade derived from absolute and comparative advantage</li> <li>explain what is meant by the terms of trade</li> <li>calculate the terms of trade</li> <li>explain how the pattern of global trade has changed over time</li> <li>evaluate comparative advantage as an explanation of global trade patterns</li> <li>explain how countries achieve international competitiveness, considering productivity, unit labour costs, exchange rates and product quality.</li> </ul>                                                                                                                                                          |
|                                              | <b>Balance of payments</b> | <ul style="list-style-type: none"> <li>explain what is meant by the balance of payments</li> <li>distinguish between the current account, capital account and financial account components of the balance of payments</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |

| Area of Study      | Topic               | Learners should be able to:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|--------------------|---------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| The global context | Balance of payments | <ul style="list-style-type: none"> <li>• explain the components of the current account – trade in goods, trade in services and income and current transfers</li> <li>• calculate the balances on the different components on the balance of payments</li> <li>• explain what is meant by imbalances on the balance of payments</li> <li>• evaluate the causes of imbalances on the balance of payments</li> <li>• explain why achieving a sustainable balance of payments position is an important macroeconomic policy objective</li> <li>• evaluate the consequences of imbalances on the balance of payments</li> <li>• evaluate policies to correct imbalances on the balance of payments.</li> </ul>                                                                                                                                                                                                                                                                                           |
|                    | Exchange rates      | <ul style="list-style-type: none"> <li>• explain what is meant by an exchange rate</li> <li>• explain, with the aid of a diagram, how exchange rates are determined in fixed and floating exchange rate systems</li> <li>• explain trends in exchange rate data</li> <li>• evaluate the causes of exchange rate changes</li> <li>• evaluate the consequences of exchange rate changes</li> <li>• explain what is meant by a hybrid exchange rate system and be able to provide current examples</li> <li>• evaluate the relative merits and drawbacks of different exchange rate systems</li> <li>• explain why some countries might manage their exchange rate to achieve international competitiveness</li> <li>• explain the Marshall-Lerner condition and the J-curve</li> <li>• evaluate the impact of exchange rate changes on international competitiveness</li> <li>• evaluate the effectiveness of changing the value of a currency to achieve macroeconomic policy objectives.</li> </ul> |

## 2d. Prior learning, knowledge and progression

No prior learning or knowledge of economics is required for taking the AS Level in Economics qualification. A qualification in GCSE Economics is available for those interested in a study of the qualification at Key Stage 4. Many other subjects supplement the study of economics which prides itself on being cross-curricular, and economics itself supplements the study of a number of subjects. Other social sciences such as sociology and psychology engage the learner to think about their personal circumstances and their role in society. History, geography, business, critical thinking, mathematics and the sciences can be taught cohesively and complement the study of economics. The study of any of these subjects can assist those learners studying economics to progress to Higher Education and employment.

Find out more about the OCR Economics offering, or other related qualifications, at [www.ocr.org.uk](http://www.ocr.org.uk)



## 3 Assessment of OCR AS Level in Economics

### 3a. Forms of assessment

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The AS Level in Economics is a linear qualification with 100% external assessment. There will be two question papers, each of which will be 1 hour and 30 minutes in length and each will carry a maximum of 60 marks. Within both question papers there will be a combination of multiple choice questions, data response questions and higher tariff extended writing questions.

Both components have the same format, with 15 multiple choice questions followed by 25 marks for data response questions which will range from 1 to 10 marks, before finishing with an extended writing question where learners are presented with the choice of two titles. This optionality only arises at the point of assessment – it is not a part of the specification requirements. Learners will, therefore, be required to develop an understanding of the entire content of each component.

Across the two components a minimum of 15% of the marks will be targeted at the assessment of quantitative skills.

For both components it is assumed that the 15 mark allocation to Section A (the multiple choice questions) will require about 25 minutes for the learners to complete. It is assumed that Section B (the data response section) should also require a response time of about 30 minutes. This will allow a further 30 minutes for the learners to respond to the 20 mark extended writing question within Section C.

### 3b. Assessment availability

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There will be one examination series available each year in June to all learners. This specification will be certificated from the June 2016 examination series onwards.

### 3c. Assessment objectives (AO)

There are four assessment objectives in OCR AS Level in Economics. These are detailed in the table below.

Learners are expected to demonstrate their ability to:

|     | Assessment Objective                                                                                                                                                                  |
|-----|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| AO1 | Demonstrate knowledge of terms/concepts and theories/models to show an understanding of the behaviour of economic agents and how they are affected by and respond to economic issues. |
| AO2 | Apply knowledge and understanding to various economic contexts to show how economic agents are affected by and respond to economic issues.                                            |
| AO3 | Analyse issues within economics, showing an understanding of their impact on economic agents.                                                                                         |
| AO4 | Evaluate economic arguments and use qualitative and quantitative evidence to support informed judgements relating to economic issues.                                                 |

#### AO weightings in AS Level in Economics

The relationship between the assessment objectives and the components are shown in the following table:

| Component                | % of AS Level in Economics (H060) |     |     |     |       |
|--------------------------|-----------------------------------|-----|-----|-----|-------|
|                          | AO1                               | AO2 | AO3 | AO4 | Total |
| Microeconomics (H060/01) | 15                                | 15  | 10  | 10  | 50    |
| Macroeconomics (H060/02) | 15                                | 15  | 10  | 10  | 50    |
|                          | 30                                | 30  | 20  | 20  | 100   |

In addition the learners will be required to demonstrate competence in the quantitative skills which are relevant to the subject content and which are applied in the context of the AS Level in Economics as detailed in Annex 1. The assessment of these quantitative skills will include at least Level 2 mathematical skills as a minimum of 15% of the overall AS level marks.

### 3d. Assessment of extended responses

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The assessment materials for this qualification provide learners with the opportunity to demonstrate their ability to construct and develop a sustained line of reasoning and marks for extended responses are integrated into the marking criteria.

### 3e. Synoptic assessment

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It is important that the content of this course is taught in such a way that the candidates develop a clear understanding of the links which exist between the various elements and aspects of the subject content. Economics is very much a subject which requires the candidates to develop a clear understanding of the different aspects of the subject and, more importantly, to be able to demonstrate an ability to show the links which exist between those aspects. It is not possible to 'think as economists' without the ability to understand the entirety of the subject.

There is, therefore, a need for the teaching of the subject to allow the learners to develop this crucial skill.

Synoptic assessment allows learners to demonstrate their understanding between different aspects of the subject. Synoptic assessment involves the explicit drawing together of knowledge, skills and understanding of different aspects of the AS level course. The emphasis of synoptic assessment is to encourage the understanding of economics as a discipline. Synoptic assessment tests the learners' understanding of the connections between different elements of the subject.

Synoptic assessment is a feature of the AS qualification. Synoptic assessment can be demonstrated through testing the learners' understanding of the connections between different elements of the subject. Each component requires the drawing together of different elements of knowledge and understanding about different aspects of microeconomics and macroeconomics to reach conclusions involving the analysis and evaluation of economic issues. The skills of thinking as economists are common to both components that the learners will complete. Therefore the approach and skill set that each component fosters will be drawn upon in the other component taken, even though the specified content is different.

### 3f. Calculating qualification results

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A learner's overall qualification grade for AS Level in Economics will be calculated by adding together their marks from the two components taken to give their total weighted mark. This mark will then be compared to the qualification level grade boundaries for the entry option taken by the learner and for the relevant exam series to determine the learner's overall qualification grade.

## 4 Admin: what you need to know

The information in this section is designed to give an overview of the processes involved in administering this qualification so that you can speak to your exams officer. All of the following processes require you to submit something to OCR by a specific deadline. More information about these processes, together with the deadlines, can be found in the *OCR Admin Guide and Entry Codes: 14–19 Qualifications*, which can be downloaded from the OCR website: [www.ocr.org.uk](http://www.ocr.org.uk)

### 4a. Pre-assessment

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#### Estimated entries

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Estimated entries are your best projection of the number of candidates who will be entered for a qualification in a particular series. Estimated entries should be submitted to OCR by the specified deadline. They are free and do not commit your centre in any way.

#### Final entries

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Final entries provide OCR with detailed data for each learner, showing each assessment to be taken. It is essential that you use the correct entry code, considering the relevant entry rules and ensuring that you choose the entry option for the moderation you intend to use.

Final entries must be submitted to OCR by the published deadlines or late entry fees will apply.

All candidates taking AS Level in Economics must be entered for one of the following entry options:

| Entry code | Title     | Component code | Component title | Assessment type     |
|------------|-----------|----------------|-----------------|---------------------|
| H060       | Economics | 01             | Microeconomics  | External Assessment |
|            |           | 02             | Macroeconomics  | External Assessment |

#### Estimated grades

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An estimated grade is the grade the centre expects a candidate to achieve for a qualification. These should be submitted to OCR by the specified deadline.

### 4b. Accessibility and special consideration

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The AS level qualification and subject criteria have been reviewed in order to identify any feature which could disadvantage learners who share a protected Characteristic as defined by the Equality Act 2010. All reasonable steps have been taken to minimise any such disadvantage.

Reasonable adjustments and access arrangements allow learners with special educational needs, disabilities or temporary injuries to access the assessment and show what they know and can do, without changing the demands of the assessment. Applications for these should be made before the examination series. Detailed information about eligibility for access arrangements can be found in the *JCQ Access Arrangements and Reasonable Adjustments*.

Special consideration is a post-assessment adjustment to marks or grades to reflect temporary injury, illness or other indisposition at the time the assessment was taken.

Detailed information about eligibility for special consideration can be found in the JCQ *A guide to the special consideration process*.

## 4c. External assessment arrangements

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Regulations governing examination arrangements are contained in the JCQ *Instructions for conducting examinations*.

## 4d. Results and certificates

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### Grade scale

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Advanced Subsidiary qualifications are graded on the scale: A, B, C, D, E, where A is the highest. Learners who fail to reach the minimum standard for E will be Unclassified (U). Only subjects in which grades A to E are attained will be recorded on certificates.

### Results

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Results are released to centres and learners for information and to allow any queries to be resolved before certificates are issued.

Centres will have access to the following results' information for each learner:

- the grade for the qualification
- the raw mark for each component
- the total weighted mark for the qualification.

The following supporting information will be available:

- raw mark grade boundaries for each component
- weighted mark grade boundaries for each entry option.

Until certificates are issued, results are deemed to be provisional and may be subject to amendment. A learner's final results will be recorded on an OCR certificate.

The qualification title will be shown on the certificate as 'OCR Advanced Subsidiary GCE in Economics'.

## 4e. Post-results services

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A number of post-results services are available:

- **Enquiries about results** – If you are not happy with the outcome of a candidate's results, centres may submit an enquiry about results.
- **Missing and incomplete results** – This service should be used if an individual subject result for a candidate is missing, or the candidate has been omitted entirely from the results supplied.
- **Access to scripts** – Centres can request access to marked scripts.

## 4f. Malpractice

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Any breach of the regulations for the conduct of examinations and coursework may constitute malpractice (which includes maladministration) and must be reported to OCR as soon as it is detected. Detailed information on malpractice can be found in the JCQ *Suspected Malpractice in Examinations and Assessments: Policies and Procedures*.

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## 5 Appendices

### 5a. Grade descriptors

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Details to be confirmed by Ofqual.

### 5b. Overlap with other qualifications

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There is significant overlap between the content of this specification and that for OCR's A Level in Economics to allow for co-teachability.

### 5c. Quantitative skills annex

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#### Annex 1: quantitative skills in economics

In order to develop their skills, knowledge and understanding in economics, students need to have acquired competence in the quantitative skills that are relevant to the subject content and which are applied in the context of an economics A level, including:

- **calculate, use and understand ratios and fractions**
- **calculate, use and understand percentages and percentage changes**
- **understand and use the terms mean, median** and relevant quantiles
- **construct and interpret a range of standard graphical forms**
- **calculate and interpret index numbers**
- **calculate cost, revenue and profit (marginal, average, totals)**
- **make calculations to convert from money to real terms**
- **make calculations of elasticity and interpret the result**
- **interpret, apply and analyse information in written, graphical and numerical forms**

Quantitative skills not in **bold** do not form part of the AS core content requirement; however, an exam board may include them in their AS specifications.

The assessment of quantitative skills will include at least Level 2 mathematical skills as a minimum of 15% of the overall AS marks and a minimum of 20% of the overall A level marks. These skills may be assessed across the assessment objectives.